



Situational awareness - do we have it?

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Executive summary

There are two events in the last few weeks that look like non-events. The Situational Awareness hedge fund unwound a \$16bn book of leveraged AI trades with barely a ripple beyond a few days of volatility. Meanwhile, the Kospi fell more than 20% in 48 hours and then rallied 25% off the low — finishing the week almost flat. Taken individually, both look like markets doing their job: absorbing shocks and moving on.

We think that read is wrong, or at least incomplete. Both events were symptoms of the same underlying condition: leverage in ETFs, margin accounts and hedge fund books that was encouraged by more than a decade of low and stable rates. Indeed, reports that over 3% of Korea's adult population received a margin call over the last two weeks is deeply concerning if true.

This piece argues that 'small vol' events are going to affect markets with an increased frequency. That comes as the backdrop of normalised interest rates and geopolitical unrest has been augmented by a Fed that has moved away from the forward guidance that reduced some volatility in the past.

We also worry that the risks in household debt (and investment accounts on margin) is being ignored as the focus stays on the risks in growing sovereign debt. If this is right, 'small vol' episodes are likely to become more frequent and potentially have larger consequences.

In the end, we worry that investors, corporates and policymakers are focused on avoiding the next big financial crisis and, in doing so, may be underestimating the risk in small events that can cascade.

A tale of two 'small vol' events

Markets have spent the last few years braced for another 2008-style event. That vigilance has a blind spot. It trains attention on the big, obvious risks and away from the smaller, everyday ones that can cascade in the right circumstances.

The implosion of the Situational Awareness hedge fund is the first case in point. The fund sold its \$16bn public equity book after highly leveraged trades on AI companies went wrong. Markets absorbed the unwind with only a brief bout of volatility — no contagion, few headlines beyond the financial press.

The second was in Korea. At one point last week, the Kospi fell over 20% in barely 48 hours, before staging a 25% rebound from the low. The headline index ended the week close to flat and broader markets have shrugged it off. But a flat index conceals an extraordinary amount of forced selling and buying beneath the surface, much driven by margin calls on leveraged retail positions.

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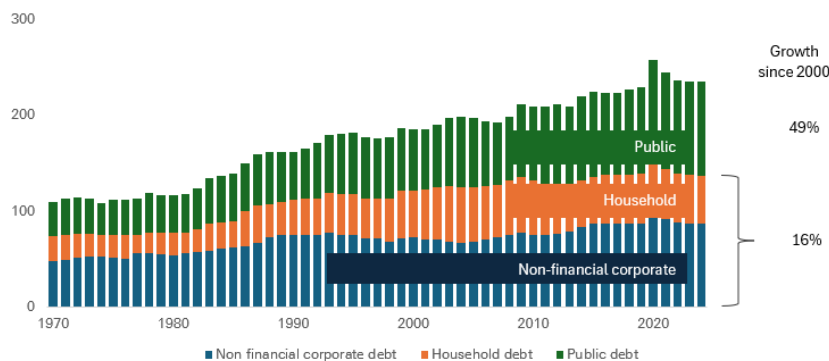
Why 'flat on the week' is the wrong takeaway

An index that round-trips 45 percentage points in days is not the same thing, economically, as one that simply sits still. Leveraged and margined positions are typically closed out mechanically and irreversibly on the way down, regardless of what happens on the way back up. The P&L may net out at the index level; the wealth destruction for individual, often first-time, leveraged investors does not.

We believe the potential for household leverage to cause problems is underestimated because the aggregate figures look okay. When we show the following chart, clients gravitate to the rise in sovereign debt, not the plateau in household leverage.

Figure 1: Household debt has lost the spotlight to public debt since 2000

Global debt as a % of global GDP



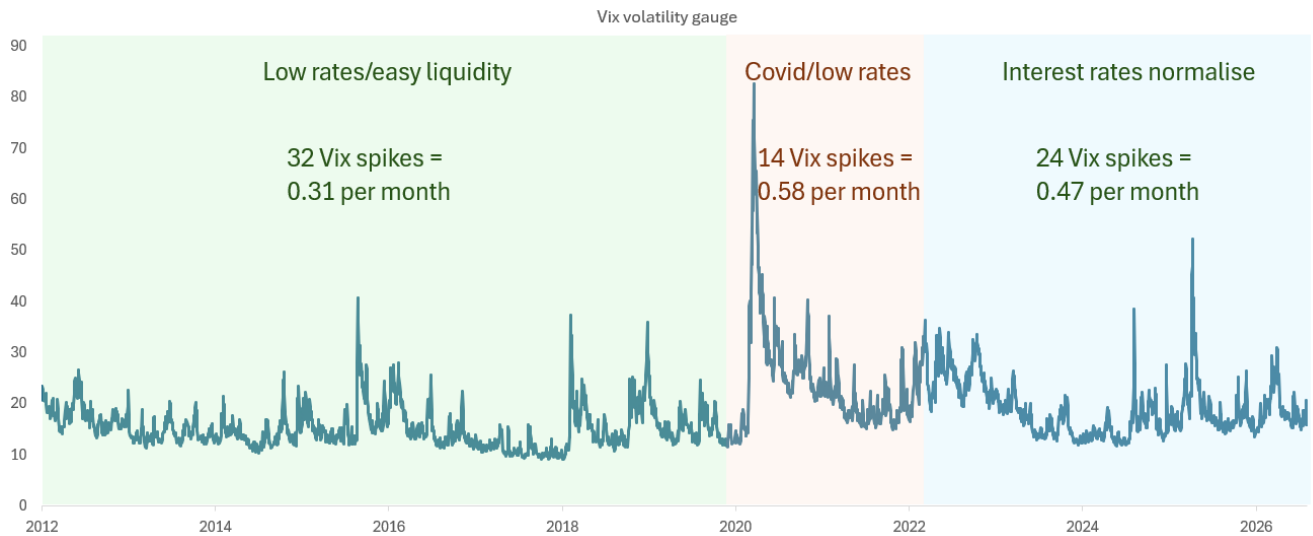
Source: IMF, Deutsche Bank Research

Small vol events are becoming more frequent

The following chart is created using our own judgement. But it shows that, by our reckoning, the number of spikes in the Vix since 2022 has been materially higher over the last few years than during last decade. The last four years are an important comparison period as this is when interest rates began to normalise.



Figure 2: A greater frequency of ‘small vol’ events appears to be the norm, at least for now



Source: Factset, Deutsche Bank Research

Is the Fed trying to bring volatility back on purpose?

One explanation for why policymakers may be tolerating episodes like these comes from Rob Armstrong (a former colleague) [here](#). He advanced a theory about Fed chair Kevin Warsh that essentially says, his withdrawal of forward guidance is a deliberate attempt to reintroduce ‘uncertainty premia’ into markets that have used lower volatility to take on more leverage than they otherwise would. The idea is that “Too little everyday volatility ultimately leads to financial crises.”

The mechanism, on this reading, is that forward guidance suppresses everyday volatility – and stable prices and calm markets encourage more borrowing, both by governments and by market participants, than would occur under normal price discovery. Warsh cannot say this outright without spooking markets, hence the vaguer ‘referee’ rhetoric – but the policy actions, in Armstrong’s view, point the same way.

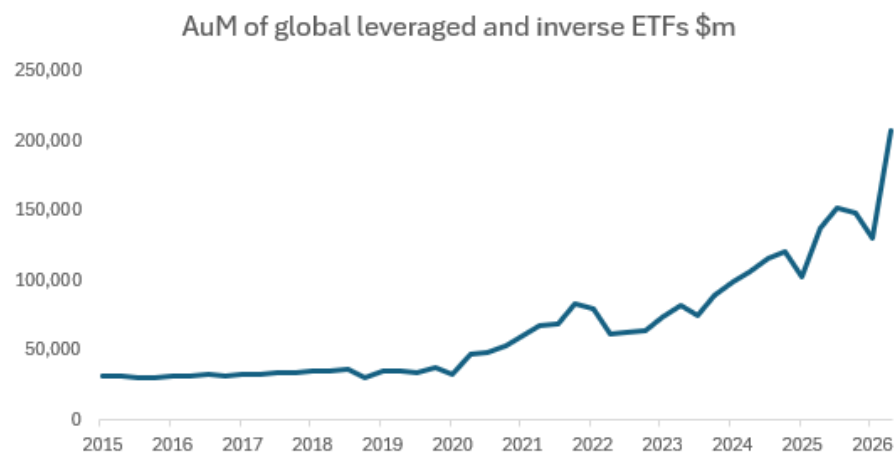
If policymakers genuinely believe more day-to-day volatility is healthy, investors should expect more ‘small vol’ episodes like Situational Awareness and the Kospi swing and should stop treating each one as isolated, ring-fenced events.

Leveraged ETFs and margin debt: Should we be afraid?

Leveraged and inverse ETFs, and the margin debt that often sits alongside them, are growing quickly across many major markets. They are a key mechanism that turns an ordinary correction into a cascade because they force mechanical, non-discretionary selling as prices move.



Figure 3: The semiconductor and broader tech rally has fuelled the popularity of leveraged ETFs



Source: Bloomberg Finance L.P., Deutsche Bank Research

In Korea specifically, the launch of single-stock leveraged ETFs tracking Samsung Electronics and SK Hynix in April turned two already-dominant, trillion-dollar-plus stocks into vehicles for retail leverage almost overnight. Retail investors accounted for a large proportion of holders. When the underlying stocks fell, those products amplified the move.

The risk is not confined to Korea. The same products are growing in the US and Europe. A market that is many times larger, and far more directly connected to consumer spending and credit availability, having its own 'Kospi moment' is a materially bigger problem for systemic risk than a niche hedge fund unwinding.

A footnote: why the name 'Situational Awareness' went viral

The fund's name borrowed from Leopold Aschenbrenner's 165-page 2024 essay, which argued AGI was plausible by 2027 and sketched a path from massive compute build-outs to an 'intelligence explosion' and eventual government-led consolidation of frontier AI ('The Project').

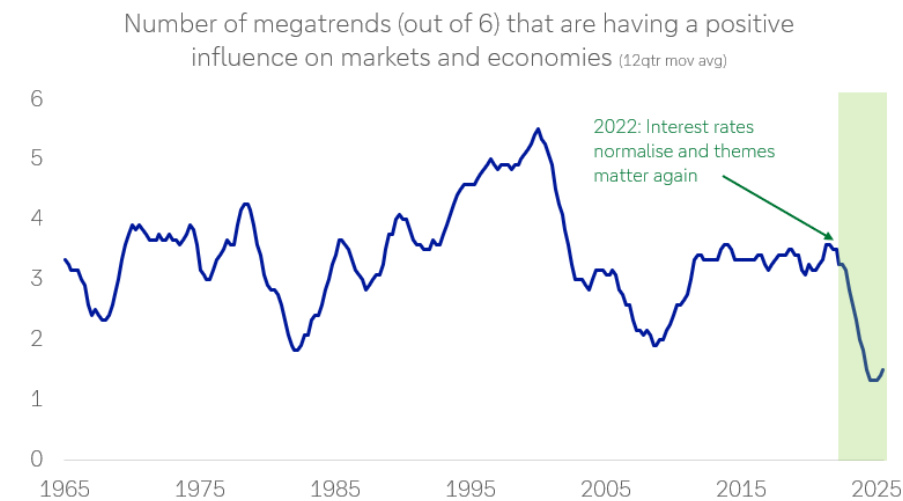
Part of a developing medium-term trend

Our megatrend framework tracks six long-run forces (technology, sovereign deficits, geopolitics & globalisation, domestic politics & social discontent, demography, and energy) and combines them into a single indicator of how supportive the backdrop is for markets and economies.

Overall, the number of megatrends working in favour of markets and economies has fallen to a level last seen only twice before – during the 1970s oil crises and around the 2008 financial crisis. Both were periods marked by exactly this kind of 'small vol' pattern: idiosyncratic-looking events that, in hindsight, were symptoms of a more fragile underlying system.



Figure 4: Prior periods of megatrends being this deeply negative have resulted in the greater frequency of volatility events



Source: Deutsche Bank Research

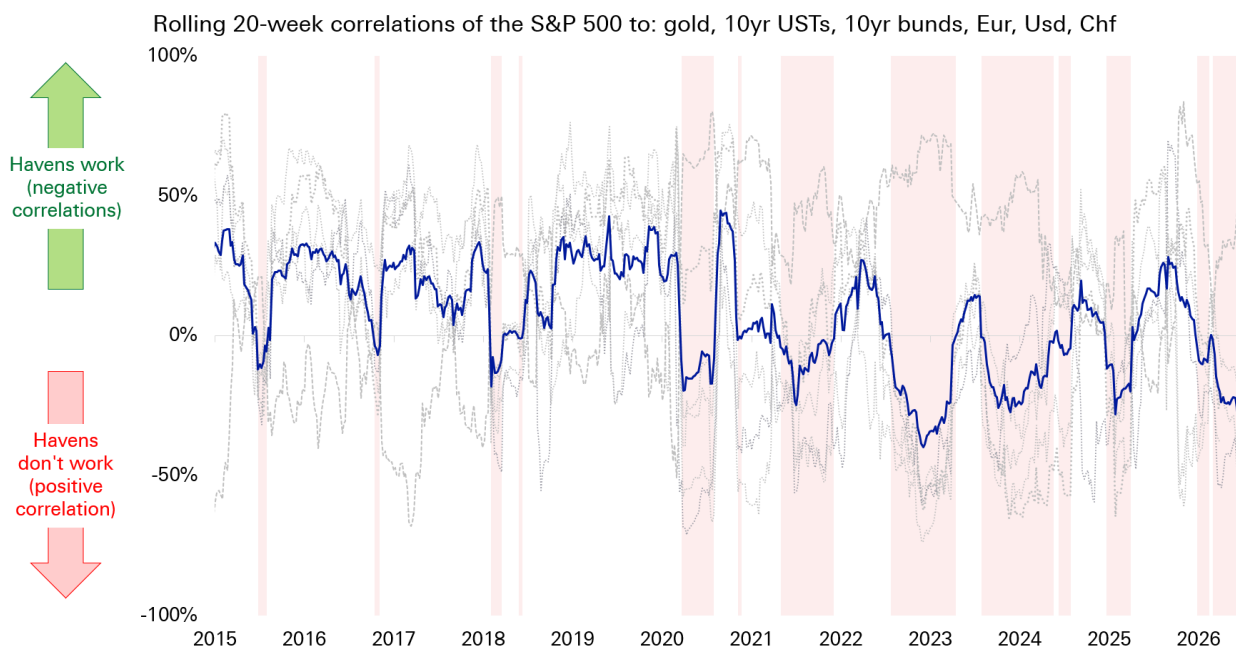
The single most important negative megatrend is sovereign deficits. Developed-market governments are refinancing and issuing new debt at rates well above those of the last decade. At the same time that our model flags unpredictable sovereign debt sell-offs, particularly those triggered by exogenous shocks and investor emotion, as a growing risk.

Havens are not there to catch you

Ordinarily, investors would look to traditional havens (gold, the dollar, the Swiss franc, the yen, US treasuries and bunds) to cushion volatility. However, our haven indicator shows that, since 2020, this combination of assets has failed to hedge risk (as proxied by the S&P 500) particularly during more shock events, including covid, the 2022 rate hikes, the 2025 tariff shock and the 2026 Iran war.



Figure 5: Traditional haven assets have not worked in the 2020s, particularly during shock events and periods of volatility



Source: Bloomberg Finance L.P., Deutsche Bank Research

If havens keep failing when they are needed most, the cushioning effect investors implicitly rely on to keep 'small vol' small is weaker than it used to be. That raises the odds that future 'small vol' episodes may cascade into something more.

What if this happened in the US or Europe?

It is tempting to treat the Kospi swing as a Korea-specific story — a function of retail culture, single-stock products and two dominant, correlated semiconductor names. But if a similar episode plays out in US or European, the results could be systemic.

The transmission mechanism would not be limited to portfolio losses. It would run through consumer spending, as households with margin-called leveraged positions cut back; through credit, as brokers and lenders reassess collateral and risk; and through confidence, as retail participation reverses. A leveraged retail shock in the US would be a materially larger systemic risk than a single hedge fund unwind.

Another example

Silicon Valley Bank is another example. On paper, SVB's failure should have been a contained, idiosyncratic event — a mid-sized bank with a concentrated depositor base and a duration mismatch. In practice, it triggered enough of a confidence panic that policymakers felt compelled to effectively guarantee all deposits across the banking system, a far larger intervention than the initial problem seemed to warrant.

The lesson is not that every small event becomes systemic but the ones that do are rarely obvious in advance. And when there is an increased frequency of these



events in a market with more leverage, less reliable havens, and policymakers newly tolerant of everyday volatility, there is an increased risk that 'small vol' events may catalyse larger problems.

Conclusion: are we situationally aware?

The market's instinct is to file Situational Awareness and the Kospi swing under 'noise' because neither, so far, has cascaded into a systemic event. That instinct may be dangerous, particularly if policymakers are willing to tolerate more everyday volatility.

Given our megatrend model indicates that the supportive backdrop for markets is near a multi-decade low, 'small vol' episodes can potentially be used as an indicator of how stress in the financial system is quietly building up.

There are plenty of other parts of the market where 'small vol' events may catalyse problems in areas that were built up with leverage during the periods of easy money. Just two examples are:

- Private equity: a large amount of TMT portfolio companies bought during the era of near-zero rates remain on PE firms' books, held longer than usual as exit markets stayed shut. A reckoning may still be ahead.
- Corporates: many listed companies still carry underperforming divisions bought during debt-fuelled M&A booms last decade. As a result, they have lower asset turnover metrics, a legacy of a decade in which cheap financing incentivised growth in revenue over earnings.

Appendix: Why Situational Awareness went viral

The original essay by Leopold Aschenbrenner in 2024 was 165 pages long. Below is a bullet point summary (generated by AI).

The Path to AGI by 2027: The document argues that Artificial General Intelligence (AGI) is strikingly plausible by 2027. This prediction is based on extrapolating "Order of Magnitude" (OOM) trendlines in three areas: physical compute scaling, algorithmic efficiencies, and "unhobbling" gains (transforming models from chatbots into active agents).

Massive Industrial Mobilisation: AI is shifting from a software boom to a massive industrial process. Leading AI labs will build training clusters costing \$100s of billions by 2028 and over \$1 trillion by 2030. By the end of the decade, these clusters could require power equivalent to 20% of total U.S. electricity production.

The Intelligence Explosion: Once AGI is achieved, it will likely be used to automate AI research itself. Because digital researchers can run in millions of copies and at much higher speeds than humans, a decade of algorithmic progress could be compressed into a single year, leading rapidly from AGI to superintelligence.

The Security Crisis: Current security at leading AI labs is described as "Swiss cheese," leaving key algorithmic secrets and model weights vulnerable to state-



actor theft, particularly by the CCP. The author warns that leaking these secrets in the next 12-24 months would be a catastrophic national security failure.

Superalignment Challenges: Reliably controlling AI systems that are vastly smarter than humans is an unsolved technical problem. Current alignment techniques (like Reinforcement Learning from Human Feedback) will break down because humans cannot supervise behaviour they do not understand. Solving this will require using AI to help automate alignment research.

"The Project" (U.S. Government Intervention): Given the decisive military and economic advantage of superintelligence, private startups cannot handle it alone. By 2027 or 2028, the U.S. government is expected to initiate a nationalized AGI effort—referred to as "The Project"—to consolidate resources, secure model weights, and ensure the free world prevails over authoritarian powers.

Geopolitical Stakes: Superintelligence will provide a military edge comparable to nuclear weapons. A lead of even a few months could be decisive, making a healthy lead for democratic allies essential for safety and global stability.



Appendix 1

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